

50,000 Frenchmen Can Be Wrong

Thinking back over my tenure as a stockpicker, I remember several major news events and their effects on the prices of stocks, beginning with President Kennedy's election in 1960. Even at the tender age of sixteen, I'd heard that a Democratic presidency was always bad for stocks, so I was surprised that the day after the election, November 9, 1960, the market rose slightly.

During the Cuban missile crisis and our naval blockade of the Russian ships—the one and only time America has faced the immediate prospect of nuclear war—I feared for myself, my family, and my country. Yet the stock market fell less than 3 percent that day. Seven months later, when President Kennedy berated U.S. Steel and forced the industry to roll back prices, I feared for nothing, yet the market had one of its largest declines in history—7 percent. I was mystified that the potential of nuclear holocaust was less terrifying to Wall Street than the president's meddling in business.

On November 22, 1963, I was about to take an exam at Boston College when the news that President Kennedy had been shot spread across the campus. Along with my classmates I went to St. Mary's Hall to pray. The next day I saw in the newspaper that the stock market had fallen less than 3 percent, though trading was halted once the news of the assassination became official. Three days later the market recovered its losses of November 22, and then some.

In April, 1968, after President Johnson announced that he wouldn't seek a second term, that he would halt the bombing raids in Southeast Asia, and that he favored peace talks, the market rose 2½ percent.

Throughout the 1970s I was totally involved in stocks and dedicated to my job at Fidelity. During that period the great events, and the market reactions to them, were as follows: President Nixon imposes price controls (market up 3 percent); President Nixon resigns (market down 1 percent) (Nixon once remarked that if he weren't the president he'd be buying stocks, and a Wall Street wag retorted that if Nixon weren't president, he'd be buying stocks, too); President Ford's Whip Inflation Now buttons are introduced (market up 4.6 percent); IBM wins a big antitrust case (market up 3.3 percent), Yom Kippur War breaks out (market up slightly). The decade of the 1970s was the poorest for stocks of any of the five since the 1930s, and yet the major-percentage one-day changes were all up—on the days just mentioned.